

commented on later. A financial analyst blessed (or handicapped) with a good memory will think of an analogy between Emerson Electric and Zenith Radio, and that would not be reassuring. For Zenith had a brilliant growth record for many years; it too sold in the market for \$1.7 billion (in 1966); but its profits fell from \$43 million in 1968 to only half as much in 1970, and in that year's big selloff its price declined to 22½ against the previous top of 89. High valuations entail high risks.

*Emery Air Freight* must be the most promising of the four companies in terms of future growth, if the price/earnings ratio of nearly 40 times its highest reported earnings is to be even partially justified. The past growth, of course, has been most impressive. But these figures may not be so significant for the future if we consider that they started quite small, at only \$570,000 of net earnings in 1958. It often proves much more difficult to continue to grow at a high rate after volume and profits have already expanded to big totals. The most surprising aspect of Emery's story is that its earnings and market price continued to grow apace in 1970, which was the worst year in the domestic air-passenger industry. This is a remarkable achievement indeed, but it raises the question whether future profits may not be vulnerable to adverse developments, through increased competition, pressure for new arrangements between forwarders and airlines, etc. An elaborate study might be needed before a sound judgment could be passed on these points, but the conservative investor cannot leave them out of his general reckoning.

*Emhart* and *ELTRA*. Emhart has done better in its business than in the stock market over the past 14 years. In 1958 it sold as high as 22 times the current earnings—about the same ratio as for the DJIA. Since then its profits tripled, as against a rise of less than 100% for the Dow, but its closing price in 1970 was only a third above the 1958 high, versus 43% for the Dow. The record of *ELTRA* is somewhat similar. It appears that neither of these companies possesses glamour, or “sex appeal,” in the present market; but in all the statistical data they show up surprisingly well. Their future prospects? We have no sage remarks to make here, but this is what Standard & Poor's had to say about the four companies in 1971:

*ELTRA*—“Long-term Prospects: Certain operations are cyclical, but an established competitive position and diversification are offsetting factors.”